

INTERNATIONAL FINANCIAL ARCHITECTURE-I

THE WORKING & FUNCTIONING OF THE INTERNATIONAL MONETARY FUND (IMF) & THE WORLD BANK

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What do we mean by International Financial Architecture (IFA); and is it broke and do we need to fix it?

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- The IFA deals with international (multilateral) financial institutions (IFIs), their governance arrangements, with a view to safeguarding the stability and functioning of the global monetary and financial system
- The core of the IFA as set up in 1944 related to the Bretton Wood twins – the International Monetary fund (IMF) and the World Bank
- However, several new institutions have since been set up to strengthen the IFA. These include – the Bank for International Settlement (BIS), the Financial Stability Board (FSB), G-7/G-10/G-20, various Multilateral Development Banks (MDBs), International Organization for Securities Commissions (IOSCO), International Association for Insurance Supervisors (IAIS)
- Over time, the roles of multilateral institutions have got redefined, with some overlaps (e.g. financial stability issues being worked upon by the IMF, World Bank, BIS and FSB) and some gaps (e.g. no specialized institution for climate finance)
- Ever since the South Sea Bubble there have been repeated episodes of asset price bubbles getting built before they burst. International Financial Institutions (IFIs) may have helped mitigate them but have not been able to avert them.

Who is the International Lender of the Last Resort (ILLR)?

Do We need One?

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Successful Global Lender of Last Resort

Fed's lending to the Central Banks vs IMF lending to Mexico



- What is the key role of IMF? Central banks act as LOLR for an economy in wake of a Too-Big-to-Fail (TBTF) financial institution whose failure has a systemic repercussion or in case there is a larger financial crisis at a systemic level.
- With increased cross-border integration of the financial markets and economies, volatilities and crisis spillovers (contagion) is taking place frequently. How does one perform LOLR functions in this milieu? Do we need an international bailout agency that acts as an International LOLR (ILLR)? IMF was designed for helping meet the BoP crisis. Can it be full-fledged ILLR? Larry Summers, Aeria Buria, Fredric Mishkin & many others raised this question in the late 1990s. The issues about the IMF functioning & its adequacy of resources have been regularly debated times and again and G20 was formed during GFC.
- Bankruptcy Laws have provision like Chapter 11 (D-i-P reorganization), Chapter 7 (Liquidation) & various other chapter provisions? Is there a case of a similar international law and can IMF be empowered to implement those?
- There is general acknowledgement that some form of an ILLR is needed, but IMF role can never be that large as it would transgress national sovereignties. Then, there are also challenges of managing moral hazard that the over-reliance on the ILLR will create.
- Goals of capital account convertibility, capital controls (use of CFMs & MPMs), surveillance and conditionalities have been widely debated from time to time.

How did IMF Came into Existence?

The Bretton Woods Conference, 1944

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- Delegates from **44 nations that met from July 1 to 22, 1944 in Bretton Woods**, New Hampshire at the United Nations Monetary and Financial Conference (Bretton Woods Conference) even while the World War-II was still going on to suggest a post-war global financial order
- The conference worked through three "commissions". **Commission I** worked on the IMF and was chaired by **Harry Dexter White**, Assistant to the Secretary of the U.S. Treasury and the chief American negotiator at the conference. **Commission II** worked on the IBRD and was chaired by John **Maynard Keynes**, economic adviser to the British Chancellor of the Exchequer and the chief British negotiator at the conference. **Commission III** worked on "other means of international financial cooperation" and was chaired by **Eduardo Suárez**, Mexico's Minister of Finance and the leader of the Mexican delegation. It was a venue for ideas that did not fall under the other two commissions
- The Conference agreed upon a series of new rules for the post-WWII international monetary system. They agreed to establish the International Monetary Fund (IMF) and the International Bank for Reconstruction and Development (IBRD) which is part of the present-day World Bank Group.



Twin Bretton Woods Institution-I: What is the World Bank?

<https://www.youtube.com/watch?v=SGavYxzJ5-Y>

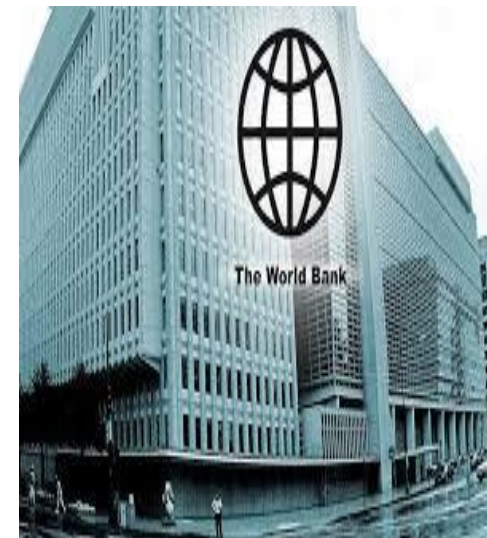
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The **World Bank Group** today consists of

- The International Bank for Reconstruction and Development (IBRD)
- The International Finance Corporation (IFC)
- International Development Association (IDA)
- Multilateral Investment Guarantee Agency (MIGA)
- International Centre for Settlement of Investment Disputes (ICSID)

The IBRD & IDA are together called the **World Bank**.

- **India is one of the founder members of IBRD, IDA and IFC.** India delayed joining MIGA though it did not spell out its concerns clearly and consistently. Causes may have been perceived limitations on national sovereignty and control over investment decisions from aligning with MIGA's framework, adverse potential impact on state-owned insurance firms from MIGA guarantees & the specific terms and conditions of MIGA guarantees, particularly regarding the types of projects covered and the extent of coverage offered. **India joined MIGA in 1994 - six years after its inception in 1988.**
- **India is not a member of ICSID**, primarily due to concerns about the perceived bias of the convention's rules and procedures in favor of developed countries and bias in selection of arbitrators along with insufficient recourse to challenge ICSID awards in Indian courts in case of being party to ICSID. Additionally, India has established its the BRICS Arbitration Centre.



The International Bank for Reconstruction and Development (IBRD)

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- Conceived in 1944 to help post World War II reconstruction of Europe, World Bank was established as IBRD with 38 members on 17th Dec. 1946 with the ratification of Bretton Woods Agreement. Today it has 189 member countries. It is the largest multilateral development bank (MDB) in the world. It provides loans, guarantees, risk management products, and advisory services to middle-income and creditworthy low-income countries. It also provides policy advice in its domain and coordinates responses to regional and global challenges, through loans for building financial sector resilience, help recapitalize banks, promote climate finance, etc.
- IBRD raises most of its funds in the world's financial markets. This has allowed it to provide more than \$500 billion in loans to alleviate poverty around the world since 1946, with its shareholder governments paying in about \$14 billion in capital. IN FY2025, it reported US\$ 40.9 billion in net loan commitments (\$80.7 bn when combined with IDA) & US\$ 30.8 billion (US\$89.6 bn combined with IDA) in disbursements. The World bank Group provided US\$118.5 bn in financing loans, grants, equity investments, and guarantees.
- IBRD has maintained a triple-A rating since 1959. This high credit rating allows it to borrow at low cost and offer middle-income developing countries access to capital on favorable terms — helping ensure that development projects go forward in a more sustainable manner, while often complementing or catalyzing private financing. IBRD earns income every year from the return on its equity and from the small margin it makes on lending. This pays for its operating expenses and for building reserves and annual transfer of funds to IDA, the fund for the poorest countries.



Ajay Banga, became 14th & current World Bank President in June 2023; World Bank President heads IBRD & IDA directly.



The International Development Association (IDA)

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- **Established in 1960 to complement IBRD with concessional loans to the least income countries** or those who do not have creditworthiness, IDA currently has 175 members. **It also provides debt relief through HIPC and MDRI initiatives.**
- For access IDA resources, country must have per capita income below the IDA operational cut-off, currently \$1,325 (in FY26), and/or lack creditworthiness for IBRD borrowing. IDA funds are allocated in relation to their income levels and record of success in managing their economies/ ongoing IDA projects. Terms are highly concessional and carry zero or low interest charges. There have been 20 IDA replenishments so far (Current voting power: US 9.45%, Japan 7.74%, UK 6.47%, Germany 4.94%, France 3.60%, Saudi Arabia 3.06%, Canada 2.48%, China 2.31% & Italy 2.09%. [21st has been approved on 17th March 2025]).
- In FY ending June 2025, IDA commitments totalled \$33.8 billion, of which \$8.2 billion in grants. Africa region received 66% (\$22.4 bn) of the total commitments. Major IDA beneficiaries were: Nigeria \$3145 mn, Bangladesh \$3045 mn, Nigeria \$2444 mn, Pakistan \$1494 mn, Congo DR \$1490 mn, Tanzania \$1197 mn, Uzbekistan US\$1025 mn, Mozambique \$886mn; Nepal \$857 mn & Benin \$827 mn.
- Major sectors receiving IDA funding in this period were: Infrastructure (Energy, ICT, Transportation, Water & Waste management) 37%; social services (education, health & social protection) 25%.; public administration 17%; agriculture 8%; finance 7% and industry & trade 5%.
- India was among the first countries to join IDA and were amongst the 18 countries that started receiving assistance from the start of operations of IDA in 1961. **By 1970, ~40% of the IDA lending was to India. India graduated out of IDA in 2014** (at the end of IDA16) as its GNI exceeded the threshold for IDA since 2010 when it stopped receiving IDA funds.

International Finance Corporations (IFC)

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- It was first proposed by Robert L. Garner, Senior World Bank Executive and his colleagues in 1950 proposed establishing a new institution **for the purpose of making private investments in the less developed countries served by the World Bank**. The U.S. Govt encouraged the idea and in 1955, the World Bank President, Eugene R. Black pushed the idea of creating IFC with a mandate to invest only in private firms.
- It was established in 1956, with 37 member countries. Today IFC has 186 member countries. At its inception, Garner was at the helm of 12 staff members and an initial corpus of \$100 mn. (~\$1.18 bn at current 2025 prices). IFC's primary goal is to promote private sector development in emerging markets, aiming to improve living standards and reduce poverty.
- It made its first investment in 1957 of \$2 mn (~\$23 mn in 2025 prices) to a Brazilian affiliate of Siemens & Halske (now Siemens AG). In 2007, IFC bought 18% stake in the Indian Financial firm, Angel Broking.
- IFC provides financial resources, including loans, equity and debt investments, and guarantees, to private companies and financial institutions in developing countries. It also offers advisory services to governments and businesses to improve the investment climate, strengthen institutions, and promote sustainable practices. It mobilizes private sector capital for development projects, leveraging its own investments to attract additional funding from other sources. In last one year it has closed two securitization transactions under its Emerging Markets Securitization Programme (EMSP) - \$510 mn collateralized loan obligation (CLO) in September 2025 & \$509 mn in June 2026.
- In Fiscal Year-end June 2025, IFC committed a record \$71.7 bn to private companies and financial institutions in developing countries, leveraging private sector solutions and mobilizing private capital to create a world free of poverty on a livable planet. This is up from US\$56 bn in 2024.



Robert L. Garner



Makhtar Diop, MD. IFC
since 1st March 2021

Multilateral Investment Guarantee Agency (MIGA)

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- **Provides political risk insurance (guarantees) for projects** in a broad range of sectors in developing member countries, covering all regions of the world.
- These guarantees provides investors protection on their FDI to developing countries, thus helping flow of FDI to developing countries.
- **It also provides credit enhancement to lenders and investors.**
- The Convention Establishing the Multilateral Investment Guarantee Agency (MIGA) was submitted to the Board of Governors of the International Bank for Reconstruction and Development on October 11, 1985, and became operational with the convention going into effect on April 12, 1988 with an initial capital of US\$ 1 bn from membership of 29 countries. The Convention was amended by the Council of Governors of MIGA effective November 14, 2010 and by 2012, its capital was enhanced to US\$1.94 bn.
- **The agency joined the Berne Union, an international community of export credit and investment insurance providers in 1994.** In 1997, MIGA issued the inaugural contract under its Cooperative Underwriting Program to support an energy project in Indonesia. In 2000, MIGA paid its first insurance claim since the agency's founding
- **MIGA aims to more than double its annual issuance of guarantees in Africa to \$6.4 billion by 2030,** attracting private capital into job-rich sectors including agribusiness, energy and infrastructure, health care, digital, finance, and trade, creating job & stouching ~190 million lives.



Tsutomu Yamamoto,
appointed as Managing
Director, MIGA since 31st
July 2025

International Centre for Settlement of Investment Disputes (ICSID)

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- The world's leading institution **devoted to international investment dispute settlement (dispute resolution through legal means & conciliation; ie. through neutral third party)**
- In 1961, Aron Broches, then-General Counsel of the IBRD, developed the idea for a multilateral agreement on a process for resolving individual investment disputes on a case-by-case basis as opposed to imposing outcomes based on standards.
- Today there are 163 signatory and contracting member states and their nationals obtain access to investment dispute settlement under the ICSID Convention and the Additional Facility, as well as to the facilities and expert services of the Secretariat. As Members, States participate in ICSID through their representation on the Administrative Council.
- The ICSID Convention entitles each Member State to designate up to four persons to the Panel of Arbitrators and up to four persons to the Panel of Conciliators. In addition, the Chairman of the Administrative Council of ICSID may designate up to ten persons to each Panel. They may be of any nationality. They serve for a renewable term of six years and may serve on both Panels simultaneously.
- Since its founding till 2025, more than 1,085 cases have been brought to ICSID, mostly all but 14 of which were arbitration cases. The remainder were conciliation cases. As of 2024, more than 700 cases were concluded.



Aron Broche after signing ICSID Convention



Martina Polasak, Secretary General ICSID since 2024; was with ICSID since 2001

Twin Bretton Woods Institution-II: What is the International Monetary Fund (IMF)?

<https://www.youtube.com/watch?v=knVMZbpflu8>

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Kristalina Georgieva,
IMF MD, now into
second term after
completing the first
during 1st Oct 2019-30-
Sept 2024

- The IMF was established in 1944 in the aftermath of the Great Depression of the 1930s. 44 founding member countries sought to build a framework for international economic cooperation. Today, its membership embraces 191 countries, with staff drawn from >150 nations.
- Its organizational structure including **the Board of Governor's as an Apex body with its 26-member Executive Board with 25 Executive Directors representing its entire membership and the IMF MD as its Chairman**. The work is carried out by the staff of the IMF headed by its Managing Director and assisted by four Deputy Managing Directors.
- The key functions performed by the IMF include:
 1. Lending
 2. Surveillance, &
 3. Capacity Development
- The IMF provides loans—including emergency loans—to member countries experiencing actual or potential balance of payments problems. The aim is to help them rebuild their international reserves, stabilize their currencies, continue paying for imports, and restore conditions for strong economic growth, while correcting underlying problems.

What is the International Monetary Fund (IMF)?

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- The **IMF monitors the international monetary system** and global economic developments to identify risks and recommend policies for growth and financial stability. The Fund also undertakes a regular health check of the economic and financial policies of its 190 member countries. In addition, the IMF identifies possible risks to the economic stability of its member countries and advises their governments on possible policy adjustments.
- The **IMF provides technical assistance and training** to governments, including central banks, finance ministries, revenue administrations, and financial sector supervisory agencies. These capacity development efforts are centered on the IMF's core areas of expertise ranging from taxation through central bank operations to the reporting of macroeconomic data. Such training also helps countries tackle cross-cutting issues, such as income inequality, gender equality, corruption, and climate change.
- The IMF's resources mainly come from the money that countries pay as their capital subscription (quotas) when they become members. Each member of the IMF is assigned a quota, based broadly on its relative position in the world economy. Countries can then borrow from this pool when they fall into financial difficulty.
- **Quota** resources are supplemented through **New Arrangements to Borrow (NAB)** and **Bilateral Borrowing Agreements (BBAs)** in the form of Note Purchase Agreements

The Purpose of the International Monetary Fund (IMF)

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ARTICLES OF AGREEMENT

As per the Article 1 of the Articles of agreement, the purposes of the International Monetary Fund are:

- i. To promote **international monetary cooperation** through a permanent institution which provides the machinery for consultation and collaboration on international monetary problems.
- ii. To facilitate the **expansion and balanced growth of international trade**, and to contribute thereby to the promotion and maintenance of high levels of employment and real income and to the development of the productive resources of all members as primary objectives of economic policy.
- iii. **To promote exchange stability, to maintain orderly exchange arrangements among members, and to avoid competitive exchange depreciation.**
- iv. To assist in the establishment of a multilateral system of payments in respect of current transactions between members and in the **elimination of foreign exchange restrictions** which hamper the growth of world trade.
- v. To give confidence to members by **making the general resources of the Fund temporarily available to them under adequate safeguards**, thus providing them with opportunity to correct maladjustments in their balance of payments without resorting to measures destructive of national or international prosperity.
- vi. In accordance with the above, to shorten the duration and lessen the degree of disequilibrium in the international **balances of payments** of members.

Article IV Mandate to Conduct Surveillance

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IMF Country Reports 26/076

United States: 2026 Article IV Consultation-Press Release; Staff Report; and Statement by the Executive Director for the United States

INTERNATIONAL MONETARY FUND

- **Section 1 (3) of Article IV makes it obligatory for an IMF member to avoid manipulating exchange rates** or the international monetary system in order to prevent effective balance of payments adjustment or to gain an unfair competitive advantage over other members;
- **Section 3. Surveillance over exchange arrangements states:**
 - The Fund shall oversee the international monetary system in order to ensure its effective operation and shall oversee the compliance of each member with its obligations under Section 1 of this Article.
 - In order to fulfill its functions under (a) above, the Fund shall exercise firm surveillance over the exchange rate policies of members; and shall adopt specific principles for the guidance of all members with respect to those policies. Each member shall provide the Fund with the information necessary for such surveillance, and, when requested by the Fund, shall consult with it on the member's exchange rate policies. The principles adopted by the Fund shall be consistent with cooperative arrangements by which members maintain the value of their currencies in relation to the value of the currency or currencies of other members, as well as with other exchange arrangements of a member's choice consistent with the purposes of the Fund and Section 1 of this Article
 - Empowered by Section (3) of the Article IV IMF conducts surveillance through Article IV mission to member countries each year (or once in two years for smaller members).

IMF

United States Article IV Consultation

**PRESS
BRIEFING**

WEDNESDAY, FEBRUARY 25
5:00 PM ET

WATCH ON
IMF LIVE



Main Recommendations of the India Article IV Consultations 2025

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Main recommendations relate to (i) continued rebuilding of fiscal buffers, (ii) gradual and data-dependent easing of monetary policy and greater exchange rate flexibility, (iii) further strengthening of financial resilience, especially noting pockets of vulnerability from of interconnectedness amongst NBFIs, banks & markets, (iv) advancing comprehensive structural policies to invigorate investment, boost the quantity and quality of employment, and raise potential growth. It encouraged India to implement labour market reforms, strengthen human capital, support greater participation of women in the labor force, boost private investment and FDI.

- **Fiscal Policy.** Found planned near-term fiscal consolidation as appropriate. Suggested continued rebuilding of fiscal buffers over medium term, with ongoing focus on raising domestic revenue.
- **Monetary Policy.** Judged monetary policy as broadly appropriate. Noted that with inflation likely to converge to target and a broadly closed output gap, room should arise for gradual rate cuts, with timing and pace remaining data dependent. But added that India's successful flexible inflation targeting regime should be supported by allowing for greater exchange rate flexibility.
- **Financial Sector Policy.** Was of the view that systemic financial risks are broadly contained but advocated further reform and vigilant supervision to address remaining pockets of vulnerability. It noted that efforts to strengthen the oversight framework, monitor system interconnectedness, and improve crisis management tools can help further enhance financial stability.
- **Structural Policies.** Recommended broad structural reforms to support private investment, job creation, and medium-term growth. Stated that near-term priorities include labor market reform, further reductions in trade restrictions, continuing the public investment push, and providing strong policy frameworks for a stable economic environment. Other priorities include pursuing agricultural, land, and judicial reforms; strengthening education, skilling, public health, and social safety nets; reducing the public sector footprint in credit markets and other obstacles to investment and creation of high-quality jobs; and implementing climate policies.



Surveillance Under Article IV Extended to Financial Sector Assessment Programme (FSAP)

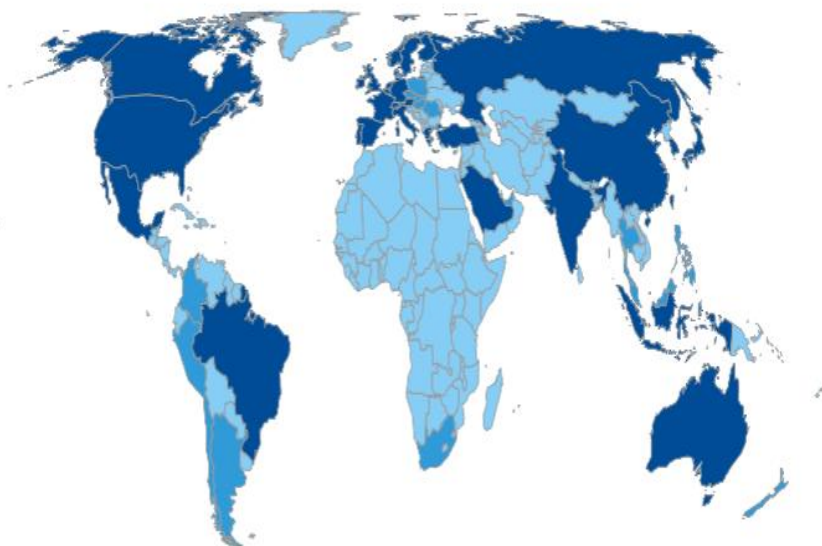
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- Apart from Article IV consultations, IMF also conducts Financial Sector Assessment Programme (FSAP). FSAP was started in AEs in 1999.
- **FSAPs are mandatorily conducted in 33 jurisdictions & the euro area having systemically important financial sector to gauge the stability and soundness of a country's financial sector** and 15 other jurisdictions, many of them EMDEs, in a 10-year cycle. Other countries may voluntarily schedule an FSAP in consultation with the IMF. In case of EMDEs, FSAP in addition to financial stability assessment also assesses how the financial sector can contribute to growth and development (the latter is conducted along with the World Bank).
- To assess financial sector stability, IMF uses a three-pillar framework of assessment of **(1)** risk analysis, **(2)** oversight, and **(3)** safety net. For this FSAP teams **(i)** examine the resilience of the banking and non-bank financial sectors and their micro- and macroprudential frameworks, **(ii)** conduct “stress tests” of financial institutions, **(iii)** analyze systemic risks, including links among banks and nonbanks, and domestic and cross-border spillovers, **(iv)** analyze emerging risks, such as climate and cyber risks, **(v)** review the quality of bank and nonbank supervision and oversight of financial market infrastructure, including clearing and payment systems and fintech, **(vi)** assesses the crisis management framework and evaluate the ability of central banks, regulators, supervisors, policymakers, backstops, and financial safety nets to respond effectively to systemic stress,
- To assess the development aspects, FSAP examines: **(i)** institutions, markets, infrastructure, and their inclusiveness, **(ii)** financial sector contributions to economic growth, **(iii)** the quality of the legal framework and payment and settlement systems, **(iv)** obstacles to competitiveness and efficiency, **(v)** progress in financial inclusion, and **(vi)** access to retail

Which Countries have Undergone FSAP?

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FSAP Participation: ■ Mandatory: 5-year cycle ■ Mandatory: 10-year cycle ■ Voluntary



Jurisdictions with Mandatory Assessments—S47		
Five-year cycle (32)		Ten-year cycle (15)
Australia	Japan	Argentina
Austria	Korea	Chile
Belgium	Luxembourg	Colombia
Brazil	Mexico	Czech Republic
Canada	Netherlands	Hungary
China	Norway	Malaysia
Hong Kong SAR	Portugal	New Zealand
Denmark	Russia	Peru
Finland	Saudi Arabia	Philippines
France	Singapore	Poland
Germany	Spain	Romania
Greece	Sweden	Slovakia
India	Switzerland	South Africa
Indonesia	Turkey	Thailand
Ireland	United Kingdom	United Arab Emirates
Italy	United States	

Note: Bolded names = new addition compared to the 29 members with SIFS selected in 2013. Green names = jurisdictions that have already been participating in FSAPs every five years due to their G20 commitment. Orange names = jurisdictions that have not participated in FSAP for more than ten years. Poland's assessment frequency is reduced from five years to ten years.

- The key findings of the stability assessment are summarized in the Financial System Stability assessment (FSSA) prepared by the IMF team
- About three-fourths of IMF membership has undergone FSAP at least once
- Chart on the left side on a global map gives the geographical dispersion and status of FSAPs up to May 27, 2026

Main Findings of the India FSAP 2025

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Main findings: India's strong economic performance has benefitted from sound macroeconomic policies and earlier structural reforms. Despite external headwinds, growth is expected to remain resilient, with inflation remaining subdued. Amid high uncertainty, potential upside risks stem from swift conclusions of trade agreements and accelerated implementation of domestic structural reforms, while possible downside risks from deepening geoeconomic fragmentation persist.

Recommendations: Reinforcing macro-financial stability will support growth. Structural reforms will raise potential growth.

- **Fiscal Policy:** The planned moderate pace of fiscal consolidation this year is appropriate, and fiscal support to mitigate the adverse impacts of tariffs should be targeted, transparent and timebound. Decisive fiscal consolidation is warranted over the medium term to rebuild buffers, with focus on domestic revenue mobilization to provide space for a continued public investment push and other priority spending.
- **Monetary and Exchange Rate Policy:** In the current uncertain environment, monetary policy should remain nimble, with an easing bias. Greater exchange rate flexibility would be helpful for absorbing external shocks, with foreign exchange intervention limited to addressing destabilizing risk premia.
- **Financial Sector Policy:** Systemic financial risks are broadly contained. Pockets of vulnerability resulting from concentration risks and rising interconnectedness should be mitigated. Strengthening borrower-based macroprudential norms and the loss absorption capacity of selected entities, together with enhancements in the crisis and credit risk management frameworks, can further strengthen financial stability.
- **Structural Policies:** Sustaining high potential growth and sufficient job creation requires strong structural reforms. Priorities include high and efficient public investment, labor market flexibility, streamlined regulations, and trade and investment liberalization to boost competitiveness and attract FDI. Strengthening the insolvency framework and judicial capacity would support firm dynamism and productivity.

The 2021 Comprehensive Review of Surveillance for its Modernization

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The IMF's Main Functions

1. Surveillance

a. Bilateral surveillance

- Regular annual discussion between IMF staff and member country, followed by assessment by the Executive Board
- Assessments of financial sector stability, now compulsory for systemic countries (*Financial Sector Assessment Programs*)

b. Multilateral & Regional surveillance

- Flagship global and regional reports (*World Economic Outlook, Global Financial Stability Report, Regional Outlooks*)
- Support to G-20 (*Mutual Assessment Program*)
- Early Warning Exercises to identify potential vulnerabilities

c. Research

- Cross-country analyses, country studies, reform of the global financial system



- A core responsibility of the IMF is monitoring the economic and financial policies of member countries and providing them with policy advice, an activity known as surveillance. As part of this process, which also takes place at the global and regional levels, the IMF identifies potential risks and recommends appropriate policy adjustments to sustain economic growth and promote financial stability.
- In 2021, IMF Conducted a Comprehensive Review of its Surveillance seeking to modernize it, inter alia, (i) prioritizing confronting risks & uncertainties, (ii) preventing & mitigating spillovers, (iii) integrating climate change into Article IV consultations, (iv) looking into systemic risk & providing macroprudential advice (v) integrating scenario planning, and (vi) improving traction
- It notes that the IMF's surveillance mandate is defined by the Articles of Agreement and elaborated further in the 2012 Integrated Surveillance Decision (ISD). In its bilateral surveillance, the IMF "will focus on policies that can significantly influence present or prospective balance of payments and domestic stability" (ISD¶6). As part of multilateral surveillance, Article IVs consultations "shall include a discussion of the spillover effects of a member's exchange rate and domestic economic and financial policies that may significantly influence the effective operation of the international monetary system, for example, by undermining global economic and financial stability" (ISD¶26).

Climate Change is now its integral part of Article IV Consultations & the FSAP

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The IMF is placing climate change at the heart of its work

- 1 Integrate climate in our annual country economic assessments
- 2 Include climate related financial stability risks in financial sector surveillance
- 3 Scale up climate in capacity development
- 4 Mainstream climate indicators in macroeconomic data

IMF.org/ClimateChange



- The Comprehensive Surveillance Review notes that the coverage of climate change in Article IV reports has been largely ad-hoc, driven primarily by the interests of country authorities and IMF country teams.
- It notes that the following three aspects are relevant in this context:
 - (i) climate change mitigation,
 - (ii) adaptation to climate change and
 - (iii) managing transition to low-carbon economy.
- It further argues that the Integrated Surveillance Decision contains a clear mandate to cover the domestic policy challenges related to climate change—provided they cross the threshold of macro-criticality. Specifically, coverage in Article IV consultations is called for where
 - (i) climate change creates a need for adaptation in order to preserve present or prospective BOP and domestic stability, or where
 - (ii) the need to manage the transition to a low-carbon economy gives rise to policy challenges that can significantly influence present or prospective BOP and domestic stability.

Article VIII: Provides for Current Account Convertibility

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■ **Section 2. Avoidance of restrictions on current payments**

- a. Subject to the provisions of Article VII, Section 3(b) and Article XIV, Section 2, no member shall, without the approval of the Fund, impose restrictions on the making of payments and transfers for current international transactions.
- b. Exchange contracts which involve the currency of any member and which are contrary to the exchange control regulations of that member maintained or imposed consistently with this Agreement shall be unenforceable in the territories of any member. In addition, members may, by mutual accord, cooperate in measures for the purpose of making the exchange control regulations of either member more effective, provided that such measures and regulations are consistent with this Agreement.

■ **Section 3. Avoidance of discriminatory currency practices**

No member shall engage in or permit any of its fiscal agencies referred to in Article V, Section 1 to engage in, any discriminatory currency arrangements or multiple currency practices, whether within or outside margins under Article IV or prescribed by or under Schedule C, except as authorized under this Agreement or approved by the Fund. If such arrangements and practices are engaged in at the date when this Agreement enters into force, the member concerned shall consult with the Fund as to their progressive removal unless they are maintained or imposed under Article XIV, Section 2, in which case the provisions of Section 3 of that Article shall apply.

■ **Section 4. Convertibility of foreign-held balances**

Each member shall buy balances of its currency held by another member if the latter, in requesting the purchase, represents: (i) that the balances to be bought have been recently acquired as a result of current transactions; or (ii) that their conversion is needed for making payments for current transactions

Article VIII: Provides for Current Account Convertibility (CAC)

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Definition: Convertibility	
Current Account C.	Capital Account C.
When Rupee is fully convertible into another currency, for CURRENT account transactions. And vice-versa.	When Rupee is fully convertible into another currency, for CAPITAL account transactions. And vice-versa.
Full	Partial

- **CAC** is not mandated by IMF Articles of Agreement, but IMF encourages capital account liberalization on a case-by-case basis after assessing the strength of the macro-financial system. IMF believes in sequenced and calibrated capital account opening.
- However, during the biennial review of its surveillance activities concluded in April 1995, the IMF's Executive Board agreed that financial market and capital account issues deserved more attention by the IMF and amended the 1977 surveillance decision to take into account more explicitly the role of capital flows.
- The Madrid Declaration of the Interim Committee of the IMF in October 1994 welcomed the growing trend toward currency convertibility and encouraged member countries to remove impediments to the flow of capital. It further noted that these and other developments in the international exchange and payments system called for a review of the IMF's potential role in monitoring capital account restrictions and encouraging capital account liberalization.
- Informally, there were some discussions to even to amend IMF Articles of Agreement to provide for CAC. The Asian Financial Crisis of 1997-98, however, forced IMF to rethink and abandon its move to integrate CAC as a goal in IMF policies. IMF since that point recognizes that CAC cannot be a goal for all countries at all times.

IMF is a Quota-Based Organization

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Resource Contributions

Quotas determine the maximum amount of financial resources a member is obliged to provide to the IMF.



Voting Power

Quotas are a key determinant of voting power in IMF decisions. Members get one vote per SDR100,000 of quota plus basic votes, which are the same for all members.



Access to Financing

Quotas determine the maximum amount of loans a member can obtain from the IMF under normal access.



SDR Allocations

Quotas determine a member's share in a general allocation of SDRs.

What are IMF quotas?

Quotas are the building blocks of the IMF's financial and governance structure. An individual member country's quota broadly reflects its relative position in the world economy. Quotas are denominated in Special Drawing Rights (SDRs), the IMF's unit of account.

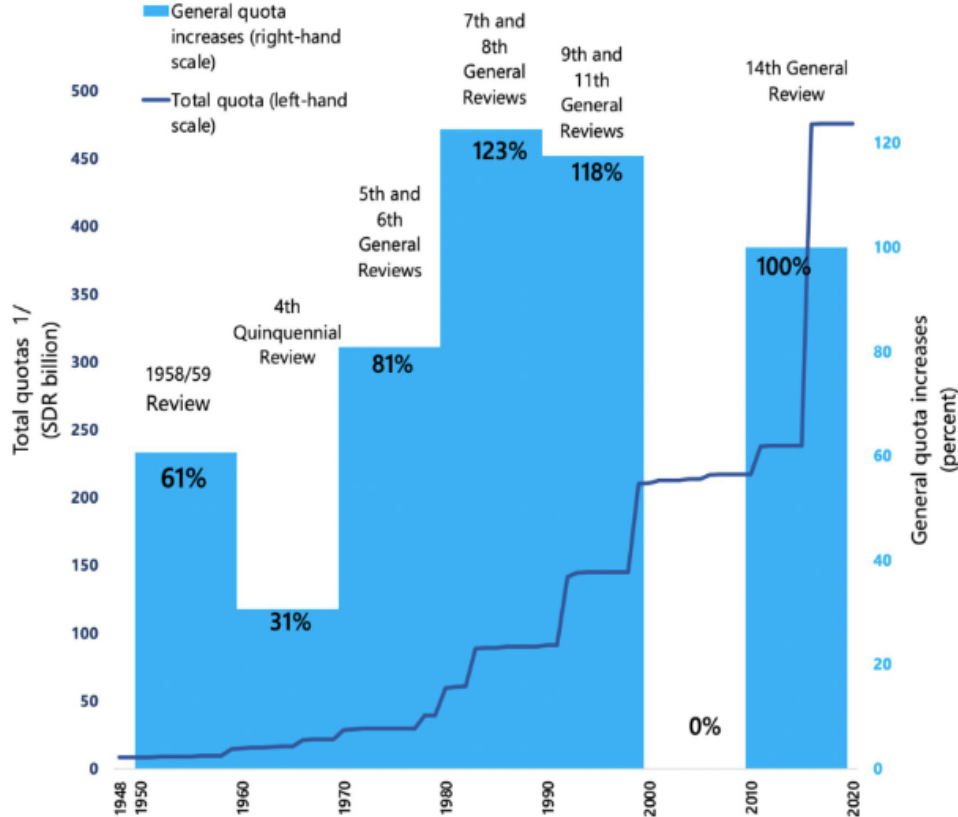
How does the IMF use quotas?

- 1) **Resource Contributions:** Quotas determine the maximum amount of financial resources a member is obliged to provide to the IMF.
- 2) **Voting Power:** Quotas are a key determinant of voting power in IMF decisions. Members get one vote per SDR100,000 of quota plus basic votes, which are the same for all members.
- 3) **Access to Financing:** Quotas determine the maximum amount of loans a member can obtain from the IMF under 'normal access'.
- 4) **SDR Allocations:** Quotas determine a member's share in a general allocation of SDRs.

General Review of Quotas (GRQs)

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Quota increases by decade



Source:
IMF, Finance Department statistics.
1/ Total quotas also include new members and ad hoc increases.

- The IMF's Board of Governors conducts general quota reviews at least every five years. The two main issues addressed in a general review of quotas are the size of an overall quota increase and the distribution of the increase among the members.
- First, a general quota review allows the IMF to assess the adequacy of quotas both in terms of members' balance of payments financing needs and in terms of the IMF's own ability to help meet those needs.
- Second, a general review allows for increases in members' quota to reflect changes in their relative positions in the world economy. In addition, a member may request an ad hoc quota adjustment at any time outside of a general review.
- If the Board of Governors determines that an increase is needed, it considers the amount of increase overall and how to distribute it among members. Any changes in quotas requires approval by 85% of the total voting power and a member's own quota cannot be changed without its consent. This means that the US with a 17.43% of quota share and 16.5% of vote share and, thus, can exercise a *de facto* veto power in decisions that are carried out by 85% majority vote.

IMF quota formula

$$(0.50 * GDP + 0.30 * Openness + 0.15 * Variability + 0.05 * Reserves)^{COMPRESSION\ FACTOR}$$

14th GRQ Quota Formula

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Current Quota Formula

$CQS = [(0.5GDP\ Blended\ (0.6MER + 0.4GDP\ PPP) + 0.3Open + 0.15Var + 0.05Res)]^k$; Where:

CQS = Calculated Quota Share;

GDP Blended = 3-year average GDP with 60% weight to GDP MER & 40% weight to GDP PPP

GDP MER = GDP at Market Exchange Rate;

GDP PPP = GDP in Purchasing Power Parity;

Open = Openness variable, computed as the annual average of the sum of current payments and current receipts (goods, services, income, and transfers) for a five year period;

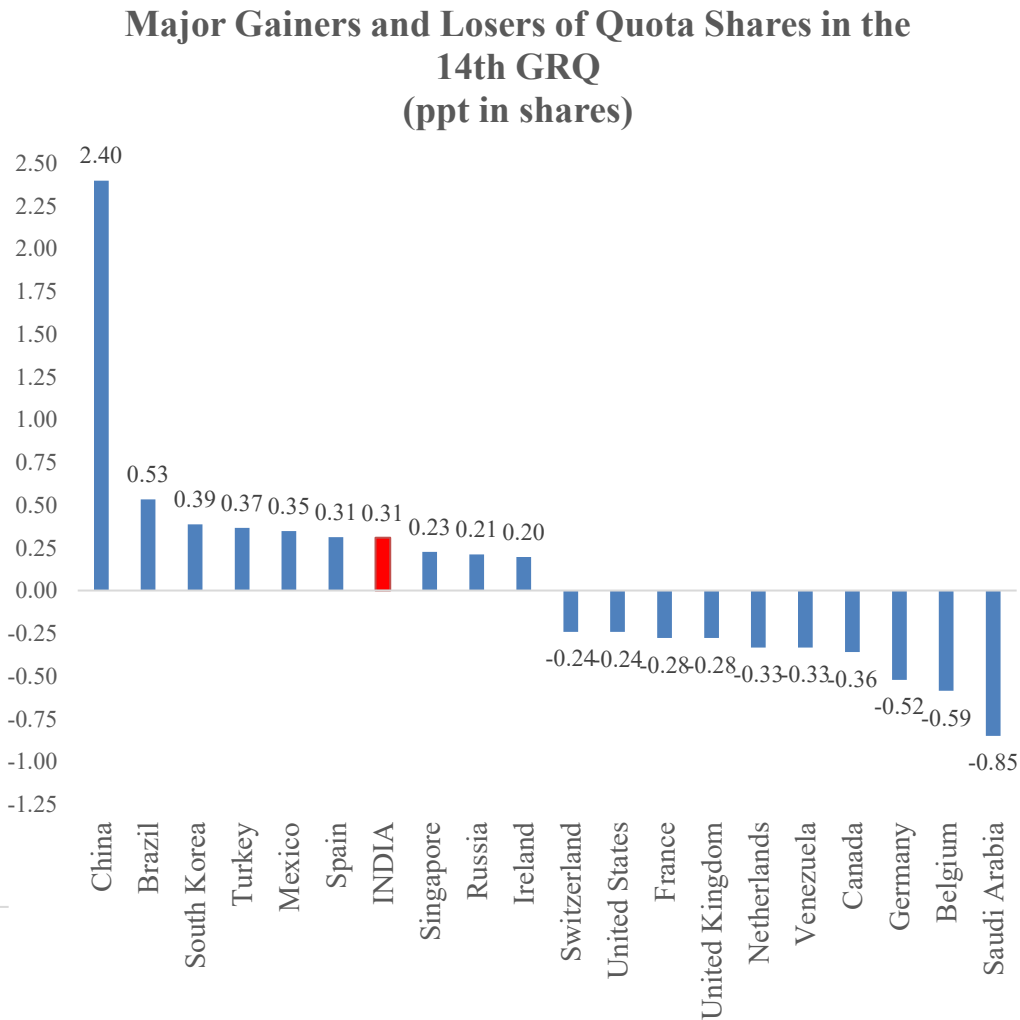
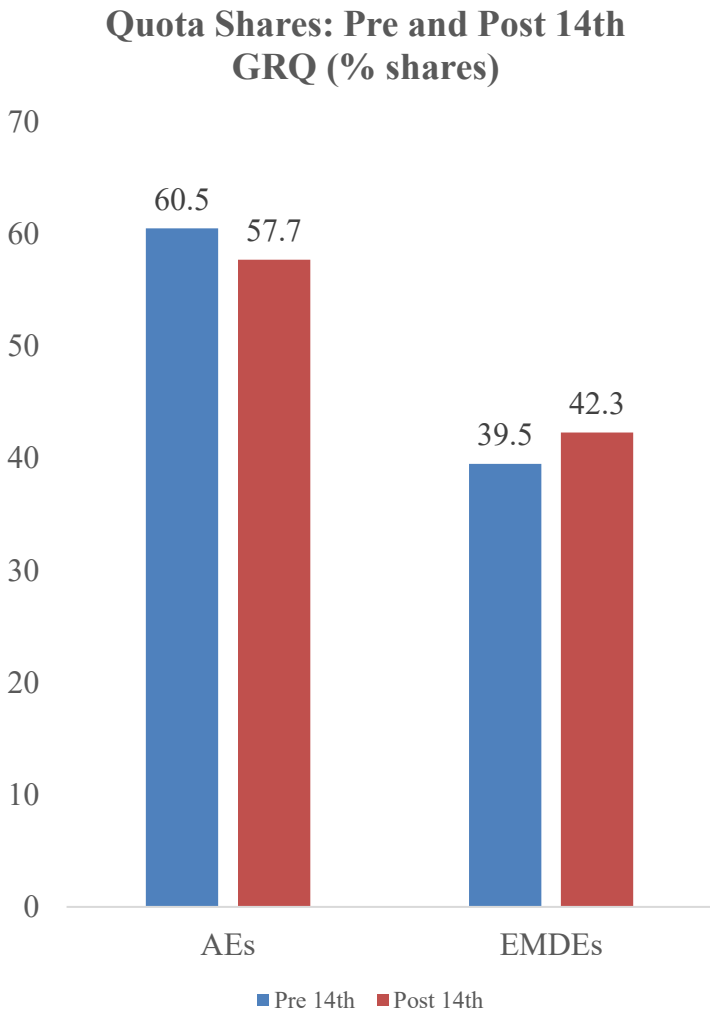
Var = Variability of current receipts and net capital flows, measured as the standard deviation from a centered three-year trend over a thirteen-year period);

Res = Twelve-month average over one year of official reserves (foreign exchange, SDR holdings, reserve position in the Fund, and monetary gold);

k = Compression factor, presently at 0.95. The compression factor is applied to the uncompressed calculated quota shares which are then rescaled to sum to 100.



Quota Review remains the biggest issue relating to IMF Governance despite the 14th GRQ





16th GRQ Completed in December 2023

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- 15th GRQ was deemed completed with no quota increase. On December 15, 2023, IMF Governing Board approved the 16th GRQ with equi-proportional increase. IMF Executive Board had recommended the 16th GRQ revision on 7th November 2023. Earlier a temporary modification on the Fund's annual and cumulative access limits was approved by the Executive Board on March 6, 2023.
- The 16th GRQ had increased IMF Quotas by 50% (SDR 238.6 billion, or US\$320 billion) from the earlier allocation to members. The quota increase would enhance the IMF's permanent resources, reduce reliance on borrowed resources (which are the New Arrangements to Borrow (NAB) & the Bilateral Borrowing Agreements (BBA), which are supposed to be temporary resources.
- NAB are between the IMF and a group of members and institutions (participants). These constitute the second line of defense after quota resources. Currently (as of December 15, 2023), 40 NAB participants contribute an aggregate amount of SDR 364 billion (USD 489 billion) to the Fund's total resource envelope. BBAs are between the IMF and individual member countries. These constitute the third line of defense after quota resources. Currently, BBAs with 42 creditors are in place for a total of SDR 141 billion (USD 189 billion).
- As per the 16th GRQ, U.S. has the largest voting share of 16.5%, while Japan has 6.14% and China 6.08%. Indian ED has a 3.05% share that includes votes from quota shares of Bangladesh, Bhutan and Sri Lanka
- The IMF is also currently working towards developing possible approaches as a guide to 17th GRQ quota realignment. The same is scheduled to conclude in 2028 but could be extended

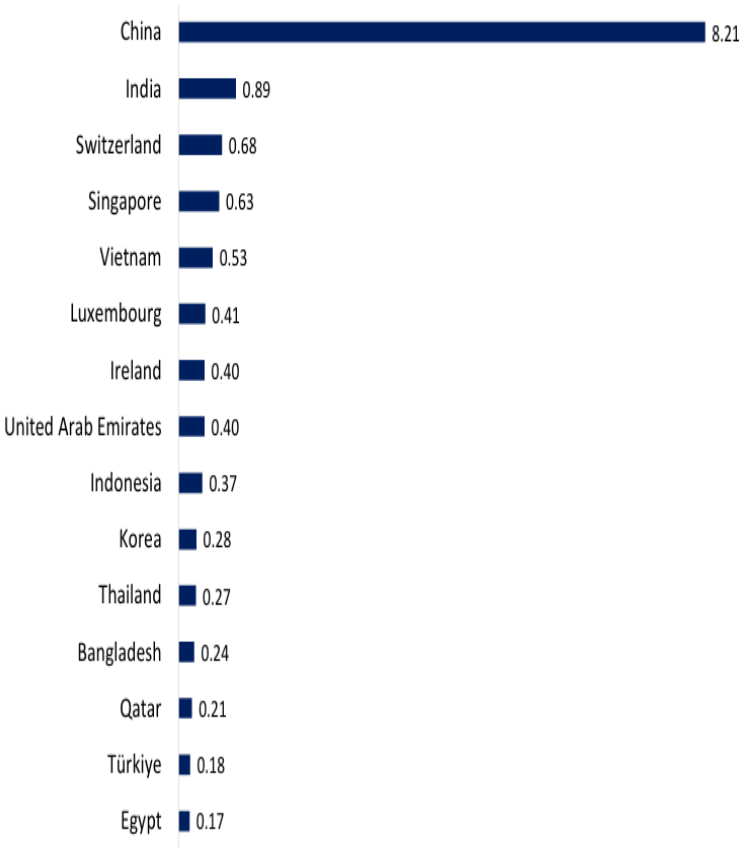


Who could be winners & losers in the 17th GRQ?

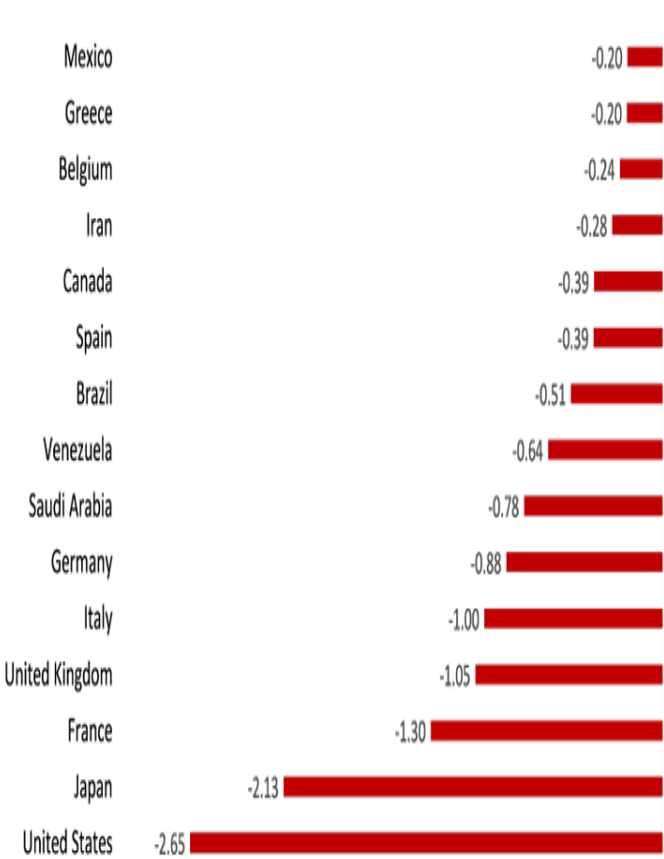
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By Region	CQS	AQS	OOL: CQS-AQS	Number of countries	Number of winners	Number of losers	Number without changes
Advanced Economies	54.44	61.56	-7.12	37	15	17	5
US	14.78	17.43	-2.65	1	0	1	0
Euro Area and UK	22.07	26.48	-4.40	21	8	11	2
Japan	4.34	6.47	-2.13	1	0	1	0
Others	12.41	11.19	1.22	14	7	4	3
Emerging Markets and Developing Economies	46.40	38.44	7.96	153	41	53	59
China	14.61	6.40	8.21	1	1	0	0
Asia excl. China	9.05	6.58	2.47	29	10	3	16
Europe	6.45	6.41	0.04	15	4	5	6
Middle East & Central Asia	7.11	7.61	-0.50	31	14	13	4
Sub-Saharan Africa	2.72	3.53	-0.80	45	4	20	21
Latin America and the Caribbean	6.46	7.92	-1.46	32	8	12	12

Out-of-Lineness: Countries with the Largest Gains from a Quota Realignment (in ppt)



Out-of-Lineness: Countries with the Largest Losses from a Quota Realignment (in ppt)



IMF Lending facilities ... (1)

<https://www.imf.org/en/About/Factsheets/IMF-Lending>

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Purpose	Facility	Financing	Duration	Conditionality
Present, prospective, or potential balance of payments need	SBA	GRA	Up to 3 years but usually 12-18 months	Ex-post, and ex-ante (prior actions) if needed
	SCF	PRGT	1 to 3 years	
Protracted balance of payments need/medium-term assistance	EFF	GRA	Up to 4 years	Ex-post, with focus on structural reforms. and ex-ante (prior actions) if needed
	ECF	PRGT	3 to 4 years, extendable to 5 years	
Urgent balance of payments need/emergency financing assistance	RFI	GRA	Outright purchase	No reviews /ex-post conditionality, but ex-ante (prior actions) possible
	RCF	PRGT	Outright disbursement	

Purpose	Facility	Financing	Duration	Conditionality
Present, prospective, or potential balance of payments need (very strong fundamentals and policies)	FCL	GRA	1 or 2-year	Ex-ante (qualification criteria) and annual reviews for the 2-year arrangements
Potential moderate short-term balance of payments needs arising due to capital account pressures (very strong fundamentals and policies)	SLL	GRA	Approved for a period of 12 months with successor SLLs possible	Ex-ante (qualification criteria)
Present, prospective, or potential balance of payments need (sound fundamentals and policies)	PLL	GRA	6-month (liquidity window) or 1 or 2-year	Ex-ante (qualification criteria) and ex-post

IMF Lending Facilities ... (2)

<https://www.imf.org/en/About/Factsheets/IMF-Lending>

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Purpose	Facility	Financing	Duration	Conditionality
Longer-term prospective balance of payments need or balance of payment need created with policies	RSF	RST	Minimum duration 18 months, cannot exceed the concurrent UCT-quality program	Ex-post, concurrent IMF UCT-quality program required
Non-financial/signaling instruments	SMP¹ (incl. PMB)	NA	6 to 18 months, longer durations not precluded	Ex-post, and ex-ante (prior actions) if needed
	PSI	NA	1 to 4 years, extendable to 5 years	Ex-post, and ex-ante (prior actions) if needed
	PCI	NA	6 months to 4 years	

1. SBA: Standby Arrangement
2. SCF: Standing Credit Facility
3. EFF: Extended Fund Facility
4. ECF: Extended Credit facility
5. RFI: Rapid Financing Instrument
6. RCF: Rapid Credit Facility
7. FCL: Flexible Credit Line
8. SLL: Short-term Liquidity Line
9. PLL: Precautionary Liquidity Line
10. SMP: Staff-Monitored Programme (PMB): programme Monitoring with Board Involvement
11. PSI: Policy Support Instrument
12. PCI: Policy Coordination Instrument
 - GRA: General Resource Account
 - PRGT: Poverty Reduction and Growth Fund
 - RST: Resilience and Sustainability Trust

Can IMF reduce the stigma attached to its borrowing?

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- IMF programmes often invite “stigma”, which refers to the negative perceptions and consequences associated with a country seeking financial assistance from the International Monetary Fund (IMF). IMF programmes have **conditionalities** are seen to bring discredit or taint that countries often feel they will attract by seeking IMF assistance.
- Stigma comes from political backlash with loss of electorate support with fears about potential loss of sovereignty as well as financial market concerns as the IMF involvement can be perceived as a sign of economic weakness.
- Perceived and actual lack of even-handedness in surveillance and lending has accentuated stigma concerns
- Is there evidence of stigma that come from stiff IMF conditionalities or is there evidence of recidivism (dictionary meaning is a tendency of the convicted criminal to reoffend) attached to IMF driven by adverse selection (structurally weaker countries ask for programmes more often) and moral hazard (being given IMF assistance encourages them to be more imprudent in future) as IMF conditionalities are weak?